

# Regulation of Financial Markets — PREVIEW

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**Course:** CIFA — Certified Investment and Financial Analysts | **Level:** Foundation Level

**This is a free preview. It shows the exam-paper layout used throughout the full document, plus the introduction section.**

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## Contents (full paper)

1. Why financial markets are regulated — *included in this preview*
  2. Key financial regulators in Kenya — full version only
  3. The role of the Capital Markets Authority (CMA) — full version only
  4. The Nairobi Securities Exchange (NSE), basics — full version only
  5. Licensing and market intermediaries — full version only
  6. Market abuse — insider trading and market manipulation — full version only
  7. Investor protection mechanisms — full version only
  8. Disclosure and continuing obligations for listed companies — full version only
  9. Full worked question — identifying a regulatory breach — full version only
  10. Practice examination — KASNEB-style paper — *Question One shown below; Questions Two–Five full version only*
  11. Marking guide — model answers to the practice examination — full version only
  12. Exam technique and revision checklist — full version only
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## 1. Why financial markets are regulated

Financial markets are regulated to protect investors, maintain fair and orderly markets, reduce systemic risk, and build public confidence in the financial system. Without regulation, information asymmetries, conflicts of interest, and outright fraud could undermine trust to the point that investors withdraw from markets entirely.

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## Sample of the practice examination (Question One of Five)

**Note on format.** The full paper includes a complete practice examination laid out the way a real KASNEB CIFA paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse

the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper.**

## **CIFA FOUNDATION LEVEL — REGULATION OF FINANCIAL MARKETS (PRACTICE PAPER)**

**TIME ALLOWED: 3 HOURS**

*Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks.  
Show all workings clearly.*

### **QUESTION ONE**

- (a) Explain THREE reasons financial markets are regulated. (12 marks)
  - (b) Outline FOUR key financial regulators in Kenya and their primary mandate. (8 marks)
- (Total: 20 marks)

**Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.**

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## **Unlock the full paper**

The complete version includes the CMA's role, the NSE, licensing of intermediaries, insider trading and market manipulation, investor protection mechanisms, listed-company disclosure obligations, a fully worked regulatory-breach question, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

**Purchase the full paper to continue.**